

EVERYDAY MILLIONAIRES

Frank and Alice—a millionaire couple from New York—understood the difference between deciding versus sliding. As a boy, Frank lived with his parents and grandparents, who were German immigrants. He remembers his father and grandfather not only as hard workers but also as frugal spenders. His grandfather especially hated debt in all forms, and his warnings against the dangers of debt and living beyond your means still ring in Frank's ears half a century later. When he graduated high school, he skipped college and went to work on Wall Street. He went on to hold several different types of jobs in the financial industry, teaching himself the ins and outs of investments and wealth building along the way.

No matter how sophisticated some of the things he saw on Wall Street appeared, though, Frank never moved too far beyond his grandfather's simple way of life. He and Alice spent their entire working lives saving, investing, avoiding debt, and sticking to their plan, which led them to a net worth of \$6 million. When we asked why they thought there weren't more millionaires in the country today, they said most people are more concerned with keeping up with the Joneses than they are about leaving a legacy for their own children. As for intentionality, Frank says, "Too many people focus on *now* instead of thinking about *later*. But, if you don't think about and plan for the future, you won't have any money for retirement."

Frank touched on something that came up in many of our millionaire interviews: spending versus saving. First, we found that 94% of millionaires say they live on less than they make—compared to 55% of the general population. Second, 95% of millionaires say they plan ahead and save in advance for big expenses—compared to 67% of the general population. Millionaire-minded people like Frank and Alice have a picture in their heads of where they want to be financially, and they know that *sliding* behaviors, like thoughtless spending and credit card living, won't get them there.

Instead, they choose to *decide* their way into wealth, and that usually comes down to living on the plans they make for themselves. That's why 93% of the millionaires we studied say they stick to the budgets they create, compared to 77% of the general population. Millionaires know that building and maintaining wealth come down to how well they manage their money